Quarterly Airline Fare & Demand Report

This report summarizes U.S. domestic airline market activity for the quarter, covering passenger demand, average fares, and carrier competition across every market in the DOT's DB1B survey. It highlights the quarter's overall trend, the largest markets by volume, the fastest-growing and declining routes, the biggest fare movements, and how carriers stack up against each other.

Quarterly Trends

year	quarter	total_passengers	total_markets	average_fare	fare_per_mile	passenger_growth_pct	fare_change_pct
2024	2	16,321,526.00	35,790.00	219.63	0.24		
2024	3	15,891,856.00	36,890.00	209.21	0.23	-2.63	-4.74
2024	4	15,910,198.00	35,872.00	224.70	0.25	0.12	7.40
2025	1	13,743,520.00	34,658.00	223.29	0.25	-13.62	-0.63
2025	2	16,125,543.00	37,048.00	219.07	0.24	17.33	-1.89

Passenger volume rebounded sharply in Q2 2025, up 17.3% QoQ to 16.1M and reaching a five-quarter high in served markets (37,048), signaling strong recovery from the Q1 travel slowdown. However, this volume gain came with a modest fare softening, as average fare slipped 1.9% to $219.07 and fare per mile eased to $0.2424, suggesting the rebound was driven more by traffic than by pricing strength.

MARKET

Top Markets by Volume

market	passengers	passenger_growth_pct	average_fare	fare_per_mile	fare_change_pct	fare_per_mile_change_pct
JFK-LAX	70,034.00	31.10	458.71	0.19	9.32	9.39
LGA-ORD	61,781.00	46.38	202.43	0.28	19.39	19.32
JFK-SFO	49,269.00	42.67	413.45	0.16	4.23	3.97
LAX-SFO	47,908.00	14.33	126.19	0.37	8.92	8.92
ATL-LGA	43,061.00	26.15	200.28	0.26	13.61	13.15
EWR-LAX	42,309.00	37.59	333.64	0.14	-4.37	-4.32
LGA-MIA	40,905.00	-8.02	207.29	0.19	7.22	6.97
EWR-MCO	40,768.00	-10.80	178.68	0.19	11.63	11.20
EWR-SFO	39,888.00	34.99	440.81	0.17	-11.82	-11.77
MCO-PHL	39,883.00	6.15	156.29	0.18	-1.66	-1.75

JFK-LAX leads the network at 70,034 passengers (+31.1% QoQ) with fares also up 9.3%, delivering strong volume and revenue-per-passenger gains alike, while LGA-ORD posted the sharpest passenger growth (+46.4%) alongside a healthy 19.4% fare increase. Most top-ten markets combined rising volumes with fare gains, though EWR-SFO stands out as a caution: solid 35.0% passenger growth was paired with an 11.8% fare decline, eroding revenue capture on that route.

Best Passenger Growth

market	passengers	passenger_growth_pct	average_fare	fare_per_mile	fare_change_pct	fare_per_mile_change_pct
BWI-MSP	7,502.00	153.96	179.12	0.19	-20.10	-19.11
MSP-PDX	8,278.00	129.31	206.36	0.14	-17.43	-15.14
MSP-RDU	5,892.00	116.30	208.61	0.21	-25.43	-24.44

Passenger volumes surged across all three markets this quarter, led by BWI-MSP (+154.0%) and MSP-PDX (+129.3%), with MSP-RDU also posting strong growth (+116.3%) — all under Delta's leading share. However, this expansion came at a revenue cost, as fares fell sharply in each market (down 17-25%), with MSP-RDU seeing the steepest erosion in both average fare and fare per mile, suggesting the passenger gains were driven by discounting rather than organic demand strength.

Worst Passenger Growth

market	passengers	passenger_growth_pct	average_fare	fare_per_mile	fare_change_pct	fare_per_mile_change_pct
FLL-MSP	5,706.00	-48.92	202.75	0.14	-5.12	-5.37
MSP-RSW	12,919.00	-46.11	184.83	0.13	-17.50	-17.46
DTW-RSW	12,073.00	-42.79	183.11	0.17	-7.34	-7.68

Passenger volumes fell sharply across all three Delta-dominated Florida markets, led by FLL-MSP's steep 48.9% decline, followed closely by MSP-RSW (-46.1%) and DTW-RSW (-42.8%). Compounding the revenue impact, these traffic losses were paired with falling fares rather than offsetting increases—MSP-RSW saw the sharpest fare erosion at -17.5%—signaling a broad demand softening in Delta's Florida leisure network rather than a capacity-driven fare correction.

FARE

Best Fare Movement

market	passengers	passenger_growth_pct	average_fare	fare_per_mile	fare_change_pct	fare_per_mile_change_pct
HNL-SJC	6,218.00	-10.53	297.33	0.12	37.68	36.83
CHS-JFK	6,120.00	46.97	205.39	0.32	32.48	32.66
HNL-OAK	5,134.00	-4.89	284.93	0.12	28.06	27.63

Fares strengthened sharply across all three markets this quarter, led by HNL-SJC's standout 37.7% jump to $297.33 (WN, 48.3% share) despite a 10.5% pullback in passenger volume — suggesting the carrier is capturing more revenue from fewer travelers. CHS-JFK also posted a robust 32.5% fare increase to $205.39 while passenger volume surged 47.0%, a favorable combination of rising yield and rising demand under B6's dominant 61.8% share. HNL-OAK rounds out the gains with a 28.1% fare increase to $284.93, reinforcing a broader pattern of fare strength across Hawaii-mainland routes even as volumes softened slightly.

Worst Fare Movement

market	passengers	passenger_growth_pct	average_fare	fare_per_mile	fare_change_pct	fare_per_mile_change_pct
MSP-RDU	5,892.00	116.30	208.61	0.21	-25.43	-24.44
MSY-PHL	6,258.00	3.06	235.99	0.21	-24.27	-23.46
DTW-RDU	6,111.00	82.58	183.97	0.35	-23.49	-21.86

Fare erosion was most pronounced on MSP-RDU, where average fares fell 25.4% QoQ to $208.61 even as passenger volume more than doubled (+116.3%), suggesting the surge in traffic (led by DL at 64.5% share) came at the cost of significant yield dilution. MSY-PHL (-24.3%, to $235.99) and DTW-RDU (-23.5%, to $183.97) show similarly steep fare declines, with DTW-RDU notably pairing an 82.6% passenger increase with a comparable drop in fare per mile (-21.9%), reinforcing a pattern across these markets where rapid volume growth is undercutting per-passenger revenue.

CARRIER

Top Carriers by Passengers

carrier	total_passengers	avg_fare	avg_market_share_pct
WN	3,406,160.00	180.96	37.49
DL	2,308,618.00	265.95	21.13
AA	1,979,301.00	251.76	17.47
UA	1,784,029.00	268.72	14.30
99	1,456,678.00	305.91	71.09

Southwest (WN) leads the field by a wide margin with 3.4 million passengers and a commanding 37.5% average market share, though its low $180.96 average fare keeps per-passenger revenue well below competitors. Delta and American follow with more moderate volumes but notably higher fares ($265.95 and $251.76, respectively), suggesting stronger revenue yield per traveler. Carrier "99" stands out despite the lowest passenger count, commanding the highest average fare ($305.91) and an unusually dominant 71.1% market share, pointing to a premium, niche-route position rather than broad-market competition with the majors.

Bottom Carriers by Passengers

carrier	total_passengers	avg_fare	avg_market_share_pct
4B	1.00	95.69	100.00
AN	1.00	109.88	100.00
AC	3.00	233.83	0.01
VC	17.00	260.65	50.93
KG	29.00	208.90	54.05

At the bottom of the field, 4B and AN each carried just a single passenger, though AN's $109.88 average fare outpaces 4B's $95.69, giving it a slight revenue edge despite identical negligible volume. AC managed only 3 passengers at a stronger $233.83 fare but with 0.0% market share, signaling minimal competitive presence. VC and KG, while still low-volume at 17 and 29 passengers respectively, show healthier fare levels ($260.65 and $208.90) and meaningful share (50.9% and 54.1%), suggesting more viable niche positions than the near-zero-volume carriers above them.

Top Carriers by Average Fare

carrier	total_passengers	avg_fare	avg_market_share_pct
99	1,456,678.00	305.91	71.09
UA	1,784,029.00	268.72	14.30
DL	2,308,618.00	265.95	21.13
PT	35,565.00	263.15	25.73
YV	56,085.00	260.63	4.56

Carrier 99 commands the strongest revenue position, posting the highest average fare of the group at $305.91 while also holding a dominant 71.1% average market share—a combination that signals strong pricing power. The remaining carriers (UA, DL, PT, YV) cluster much more tightly in the $260-$269 range, with YV generating the lowest per-passenger revenue at $260.63 despite serving a modest passenger base.

Bottom Carriers by Average Fare

carrier	total_passengers	avg_fare	avg_market_share_pct
G4	488,178.00	68.22	76.07
XP	68,260.00	85.64	83.24
NK	702,021.00	93.39	10.34
F9	682,791.00	101.46	10.15
MX	149,683.00	107.49	40.69

Allegiant (G4) anchors the bottom of the fare table at just $68.22, well below all other low-fare carriers despite carrying the largest passenger volume (488,178) and a commanding 76.1% average market share—signaling significant untapped revenue-per-passenger potential. Spirit (NK) and Frontier (F9) follow with fares in the $93-$101 range but operate at much thinner market share (roughly 10%), suggesting these low fares aren't buying comparable market dominance. XP and MX round out the group with modestly higher fares near $86-$107, though their share of total passenger volume is far smaller, limiting their overall revenue impact.

Top Carriers by Market Share

carrier	total_passengers	avg_fare	avg_market_share_pct
XP	68,260.00	85.64	83.24
LF	113.00	151.10	81.61
G4	488,178.00	68.22	76.07
99	1,456,678.00	305.91	71.09
HA	217,212.00	220.39	51.89

XP leads the field with a dominant 83.2% average market share, closely trailed by LF at 81.6%, though both operate on a much smaller passenger base than the larger carriers. G4 backs up its strong 76.1% share with substantial volume (488,178 passengers) but at a low $68.22 average fare, limiting revenue capture per traveler. By contrast, 99 commands the highest fare ($305.91) and the largest passenger volume despite a comparatively modest 71.1% share, while HA's weaker 51.9% share signals more competitive exposure in its markets.

Bottom Carriers by Market Share

carrier	total_passengers	avg_fare	avg_market_share_pct
ZW	162.00	212.27	3.20
YV	56,085.00	260.63	4.56
SY	96,980.00	129.25	5.90
G7	24,402.00	250.34	8.76
F9	682,791.00	101.46	10.15

ZW trails all carriers with a mere 3.2% average market share, despite posting a relatively strong $212.27 average fare—though its razor-thin passenger base of just 162 limits its overall revenue contribution. YV (4.6% share) and SY (5.9% share) round out the bottom tier, with SY's low $129.25 fare compounding the revenue impact despite carrying nearly 97,000 passengers. These low-share carriers represent limited competitive threat but also minimal revenue opportunity compared to scale players like F9.

Overall Consensus

After a soft Q1 dip, Q2 2025 rebounded to near-record passenger volume (16.1M) while average fares held roughly flat versus the year-ago quarter ($219.07 vs $219.63), signaling healthy demand recovery without meaningful pricing power gains. The strongest revenue performance came from a handful of long-haul and niche routes (HNL-SJC, CHS-JFK) posting 25-38% fare increases, while several high-growth Sun Belt and connector markets (MSP-RDU, MSY-PHL, DTW-RDU) saw both fares and fare-per-mile fall over 20%, suggesting volume gains there are coming at the expense of yield. Overall, the quarter reflects a market prioritizing passenger throughput recovery over fare growth, with revenue quality varying sharply by route and carrier mix.